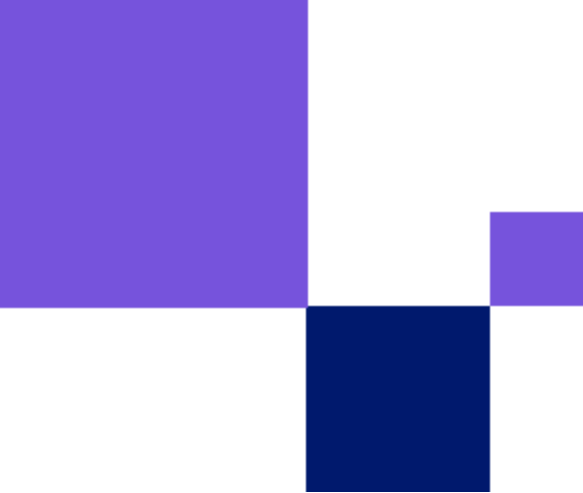
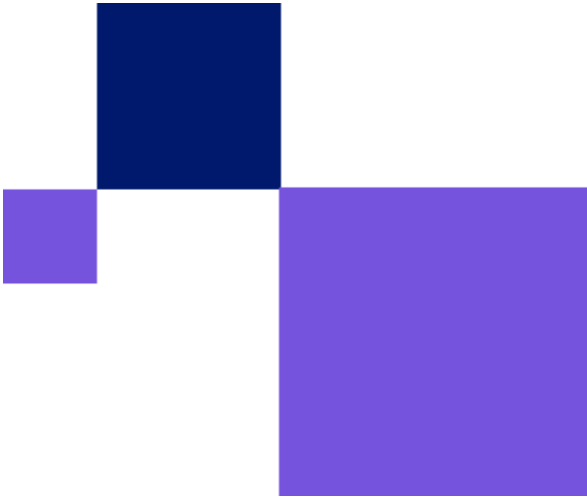




Foundations of Financial Accounting (ACC107)

Lecture 3
Trial Balance & Accrual Basis
(Ch.10 & 4)



Learning outcomes

- Balance and close ledger accounts (T-accounts).
- Describe the nature and purposes of a trial balance.
- Prepare a trial balance from the ledger or list of ledger account balances (T-accounts).
- Explain the nature of the accruals concept and the matching concept.
- Show the entries for accruals and prepayments in the journal and general ledger.

Review

- The **increase (decrease)** in accounts for **Assets and Expenses** is on their **debit (credit)** side.
- The **increase (decrease)** in accounts for **Liabilities, Capital, and Revenue** is on their **credit (debit)** side.

Assets	
Debit (+)	Credit(-)

Liabilities	
Debit (-)	Credit(+)

Capital	
Debit (-)	Credit(+)

Expenses	
Debit (+)	Credit(-)

Revenue	
Debit (-)	Credit(+)

The balancing/closing of ledger accounts

At the **end** of every reporting period, it is necessary to **balance and close** each general ledger account for that period to prepare the accounts for a **new** accounting period.

Under the accounting period concept, **revenue and expenses** are confined to the accounting period they occur in. They do not roll forward from one period to the next.

An entity's **assets, liability, and capital** balances roll forward from one period to the next.

The procedure of closing accounts

1. Add the debit and credit sides separately and find the higher side. Draw parallel lines on each side. Fill in **the higher of the two totals** on both sides below the lines.
2. Find the difference between the two sides of the T-account. Balance the T-account. If the **amount of the debit side exceeds that on the credit side**, enter the difference on the **credit side** immediately after the last entry on that side. Similarly where the **amount on the credit side exceeds that on the debit side**, the difference should be entered on the **debit side** immediately after the last entry on that side.

The procedure of closing accounts

3. Three descriptions to close off accounts.

- a) When the account is an **asset or liability** account, the closing balance within the period should be described as the '**balance carried down**' (**Bal. c/d**). Enter the same figure on the opposite side below the parallel lines. This should be described as the '**balance brought down**' (**Bal. b/d**). The balance may also be called 'balance carried forward' and 'balance brought forward'.
- b) When the account is an **revenue or expense** account, the closing balance for the year transfers to the **statement of financial performance account**. No opening balance for the next period.
- c) Any account that represents a movement in owners' capital (**drawings, capital introduced and the statement of financial performance account**) is closed at the end of the reporting period with the balance transferred to the **owners' capital account**. When all the movement accounts are closed and the balances transferred to this account, it will be closed and the **balance carried down to the next period**.

Closing accounts for assets & liability

Bank a/c					
Date	Detail	Amount	Date	Detail	Amount
Jan 1	Cap. Intro.	8,000	Jan 3	Purchases	2,500
Jan 20	Loan	1,500	Jan 29	Heat & Light	80
			Jan 30	Drawings	500
			Jan 31	Bal. c/d	6,420
		9,500			9,500
Feb 1	Bal. b/d	6,420			

2

1

3

Closing accounts for assets & liability

Doyle - Trade receivables a/c					
Date	Detail	Amount	Date	Detail	Amount
Jan 20	Sales	3,400			
			Jan 31	Bal. c/d	3,400
		3,400			3,400
Feb 1	Bal. b/d	3,400			

Loan a/c					
Date	Detail	Amount	Date	Detail	Amount
			Jan 20	Bank	1,500
Jan 31	Bal. c/d	1,500			
		1,500			1,500
			Feb 1	Bal. b/d	1,500

The procedure of closing accounts

3. Three descriptions to close off accounts.

- a) When the account is an **asset or liability** account, the closing balance within the period should be described as the '**balance carried down**' (Bal. c/d). Enter the same figure on the opposite side below the parallel lines. This should be described as the '**balance brought down**' (Bal. b/d). The balance may also be called 'balance carried forward' and 'balance brought forward'.
- b) When the account is an **revenue or expense** account, the closing balance for the year transfers to the **statement of financial performance account**. No opening balance for the next period.**
- c) Any account that represents a movement in owners' capital (**drawings, capital introduced and the statement of financial performance account**) is closed at the end of the reporting period with the balance transferred to the **owners' capital account**. When all the movement accounts are closed and the balances transferred to this account, it will be closed and the **balance carried down to the next period**.

Closing accounts for revenue & expenses

Sales a/c					
Date	Detail	Amount	Date	Detail	Amount
			Jan 20	Doyle - T/R	3,400
Jan 31	F/P	3,400			
		3,400			3,400

Purchases a/c					
Date	Detail	Amount	Date	Detail	Amount
Jan 3	Bank	2,500			
			Jan 31	F/P	2,500
		2,500			2,500

Closing accounts for revenue & expenses

Heat & light a/c					
Date	Detail	Amount	Date	Detail	Amount
Jan 29	Bank	80			
			Jan 31	F/P	80
		80			80

The procedure of closing accounts

3. Three descriptions to close off accounts.

- a) When the account is an **asset or liability** account, the closing balance within the period should be described as the '**balance carried down**' (Bal. c/d). Enter the same figure on the opposite side below the parallel lines. This should be described as the '**balance brought down**' (Bal. b/d). The balance may also be called 'balance carried forward' and 'balance brought forward'.
- b) When the account is an **revenue or expense** account, the closing balance for the year transfers to the **statement of financial performance account**. No opening balance for the next period.
- c) Any account that represents a movement in owners' capital (**drawings, capital introduced and the statement of financial performance account**) is closed at the end of the reporting period with the balance transferred to the **owners' capital account**. When all the movement accounts are closed and the balances transferred to this account, it will be closed and the **balance carried down to the next period**.

Closing accounts for capital movement

Capital introduced a/c					
Date	Detail	Amount	Date	Detail	Amount
			Jan 1	Bank	8,000
Jan 31	Owners' capital	8,000			
		8,000			8,000

Drawings a/c					
Date	Detail	Amount	Date	Detail	Amount
Jan 30	Bank	500			
			Jan 31	Owners' capital	500
		500			500

Closing accounts for capital movement

Statement of financial performance a/c					
Date	Detail	Amount	Date	Detail	Amount
Jan 31	Purchases	2,500	Jan 31	Sales	3,400
Jan 31	Heat & light	80			
Jan 31	Owners' capital	820			
		3,400			3,400

Owners' Capital a/c					
Date	Detail	Amount	Date	Detail	Amount
Jan 31	Drawings	500	Jan 31	Cap. Intro.	8,000
			Jan 31	Profit from F/P	820
Jan 31	Bal. c/d	8,320			
		8,820			8,820
			Feb 1	Bal. b/d	8,320

Trial balance

The **trial balance** (试算平衡表) is neither part of the general ledger nor journal entry. It is a list of the balances in the ledger at the end of an accounting period, divided between those ledger accounts with debit balances and those with credit balances.

Trial Balance as at 31 Jan.		
	Debit	Credit
Bank	6,420	
Doyle-Trade receivables	3,400	
Capital introduced		8,000
Drawings	500	
Loan		1,500
Sales		3,400
Purchases	2,500	
Heat & light	80	
Total	12,900	12,900

Statement of financial position accounts

Statement of financial performance accounts

The purposes of trial balance

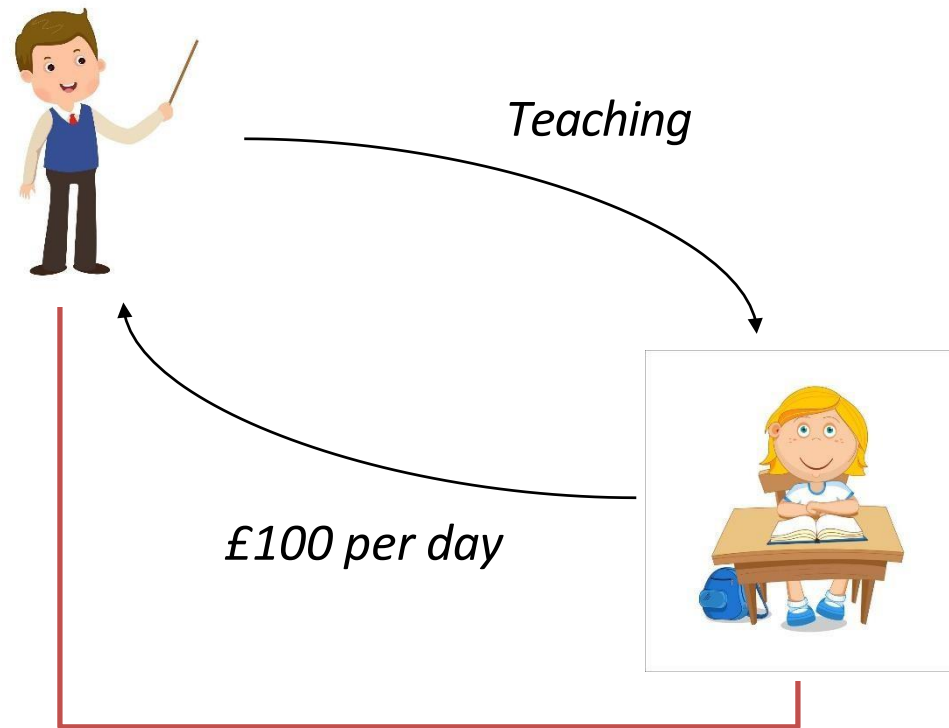
To ascertain whether the total of the ledger accounts with **debit balances equals** the total of the ledger accounts with **credit balances**.

- Ensures that the same money value of each transaction has been entered on **both sides** of the general ledger.
- Facilitates the **identification of errors** and serves as an **internal check for arithmetic accuracy**.
- May still have errors. (e.g., wrong amounts are entered in both sides; a transaction has been omitted completely)

To assist in the **preparation of the financial statements**.

When to recognize revenue?

► Is this revenue for today?



- *Revenue from teaching is accumulated and promised to be paid on a weekly basis*

When to recognize revenue?



1. Did you work today ?
2. Where is £100 ?
3. You don't have money. So you **did NOT earn anything** today!

Cash basis

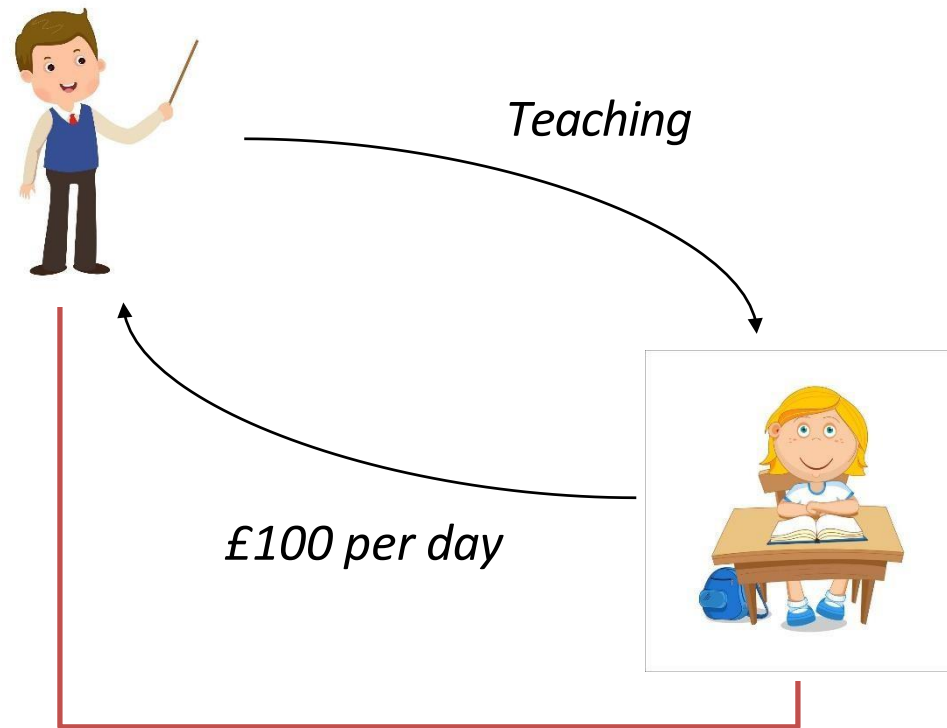


1. Yes, I worked today!
2. The student did not pay yet, but he promised me to pay 1 week later.
3. **I earned today! I already provide my teaching service.** I will receive the money soon. It is just a matter of time.

Accrual basis

When to recognize expenses?

► Is this an expense for today?



- *Revenue from teaching is accumulated and promised to be paid on a weekly basis*
- *During the break of teaching, the tutor spent £20 on dinner, on credit*

When to recognize expenses?



No cash payment. =>
No costs!

Cash basis



1. I earned today
=> £100 *receivable*
=> Recognize 'Revenue'

2. I have a cost. I owed £20 for
today's Dinner.
=> £20 *Payable*
=> Recognize 'Expenses'

Accrual basis

Matching

Cash basis & Accrual basis

Cash basis (收付实现制)

Transaction is recognized WHEN **cash is received or paid**

Accrual basis (权责发生制)

Transaction is recognized WHEN it **occurs** regardless of cash receipt or payment



- **Revenue recognition:** Recording **revenues** when they are **earned** by providing goods or services to customers.
- **Matching principle (Expenses recognition):** Recording **expenses** in the **time period** they were **incurred** to produce **revenue**.
 - Once you recognize **revenue**, recognize the related **expenses** in the **SAME TIME PERIOD!**

Accrual basis

Cash basis & Accrual basis



Cash Accounting

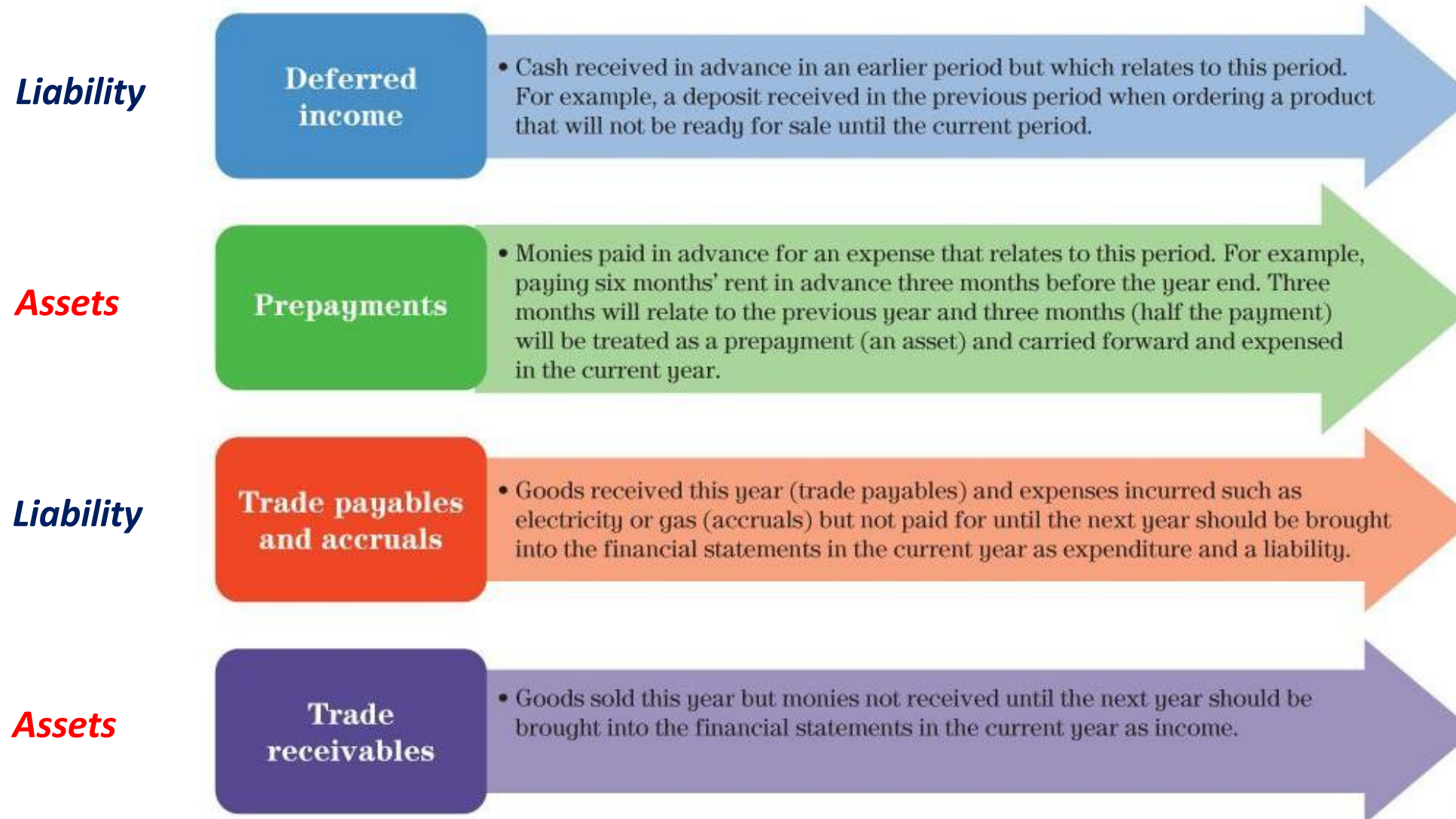
- Small businesses
- Individuals who prefer cash basis and do not require detailed financial statements.
-



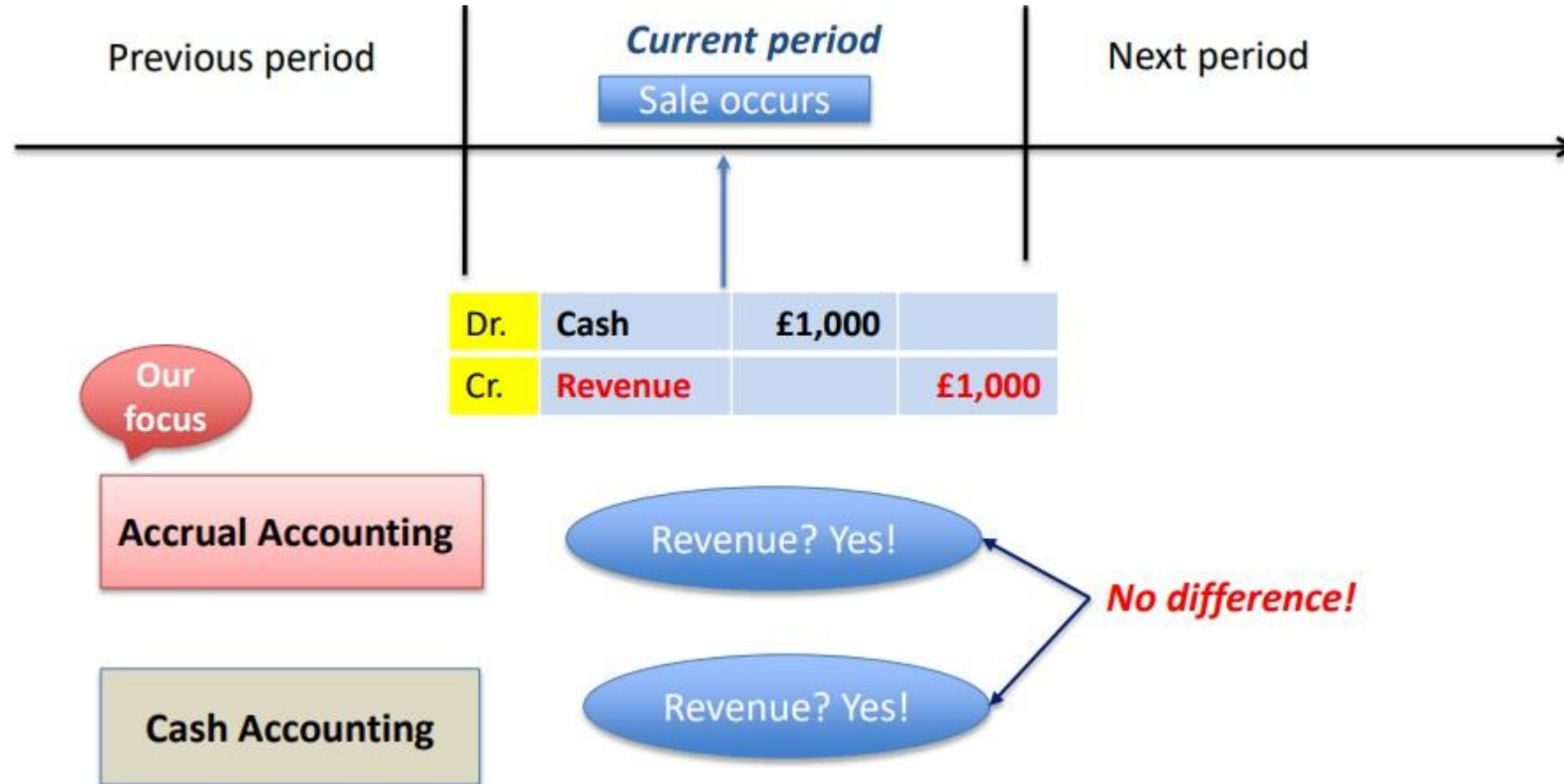
Accrual Accounting

- Large businesses
 - Individuals who want to record transactions more accurately.
 - Accountants, bookkeepers, financial professionals.....
- Accrual accounting is widely accepted as the *standard method* of accounting for businesses and organizations

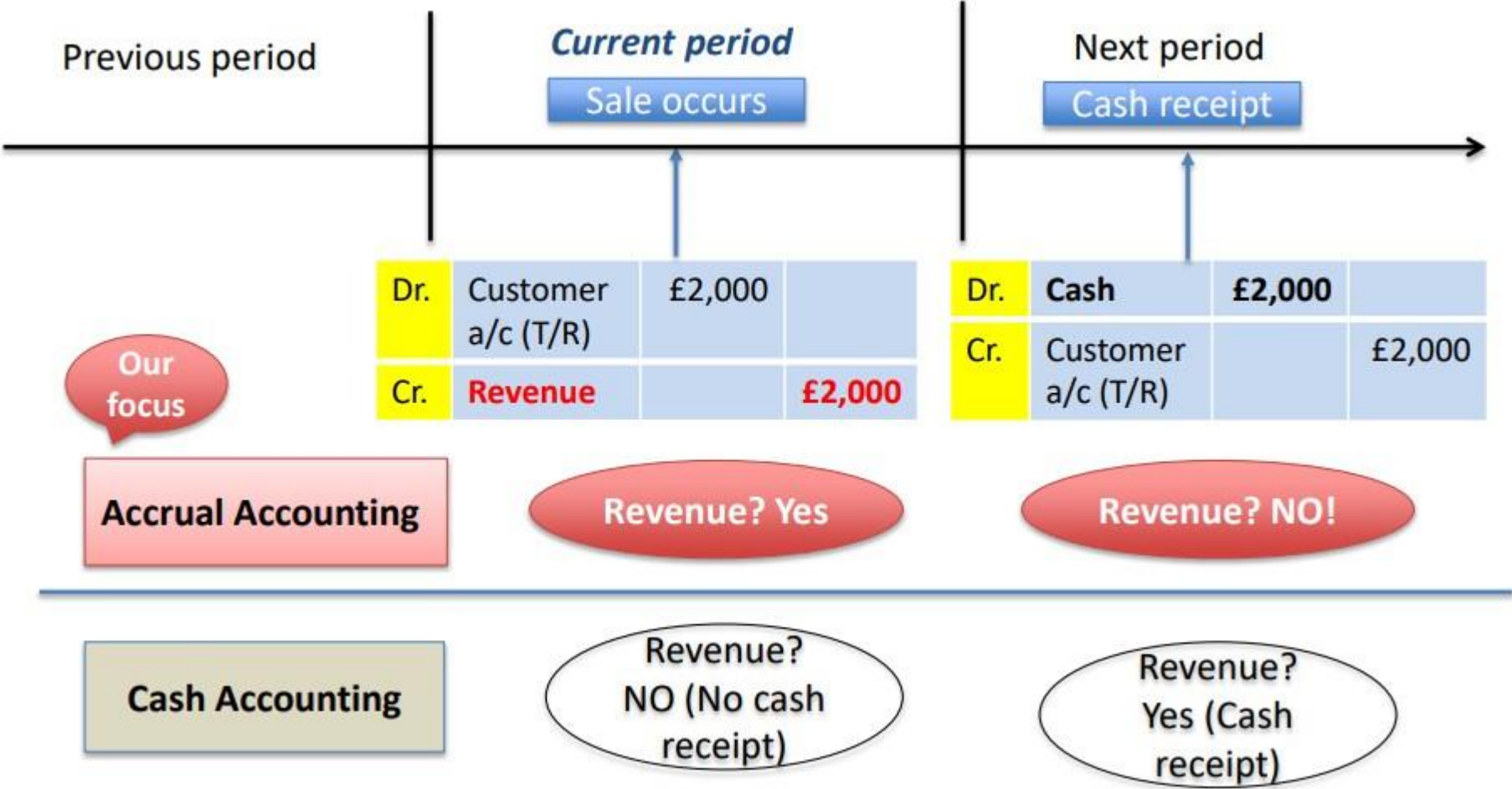
Accounting terms for accrual transactions



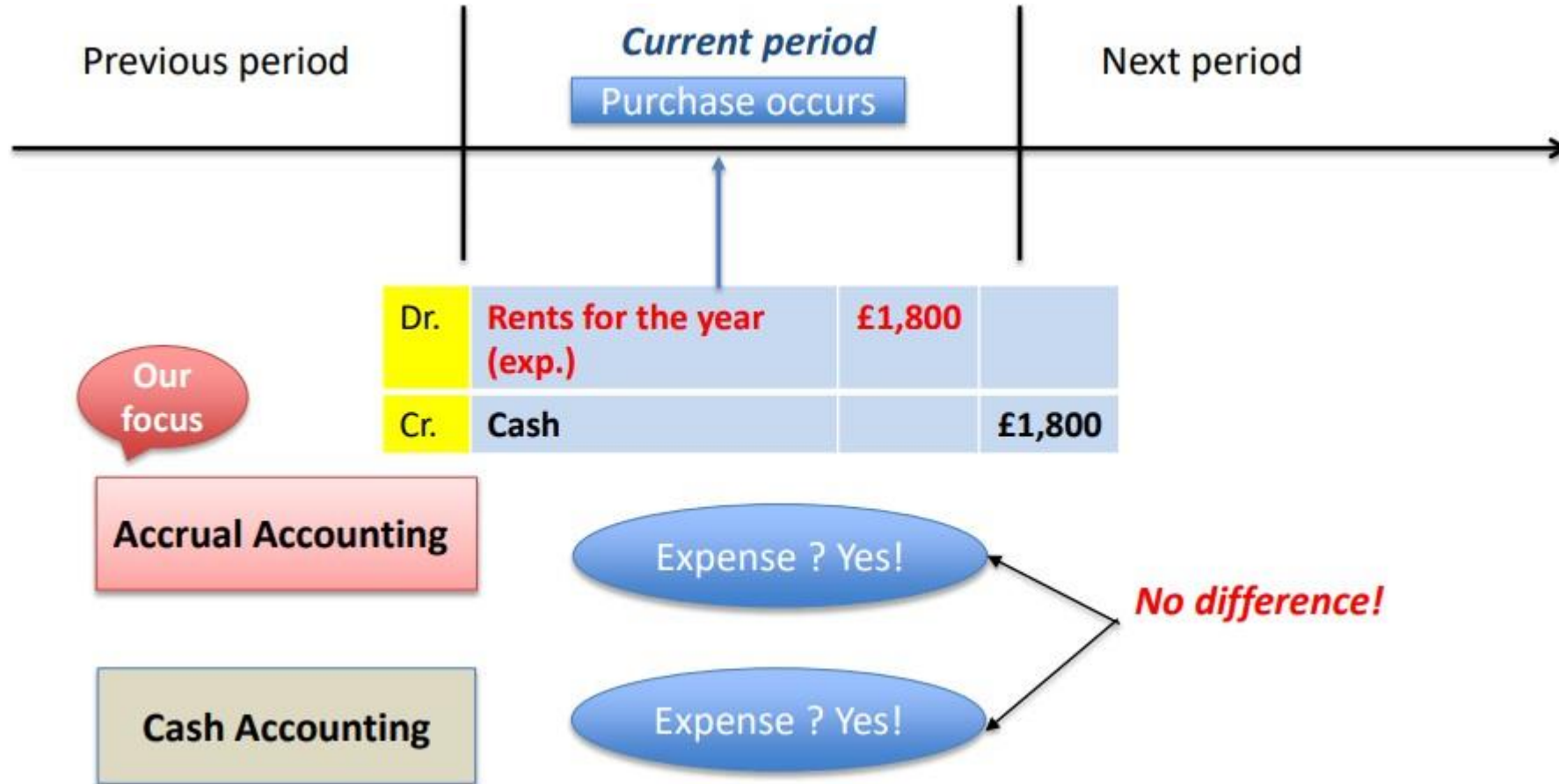
Cash sale



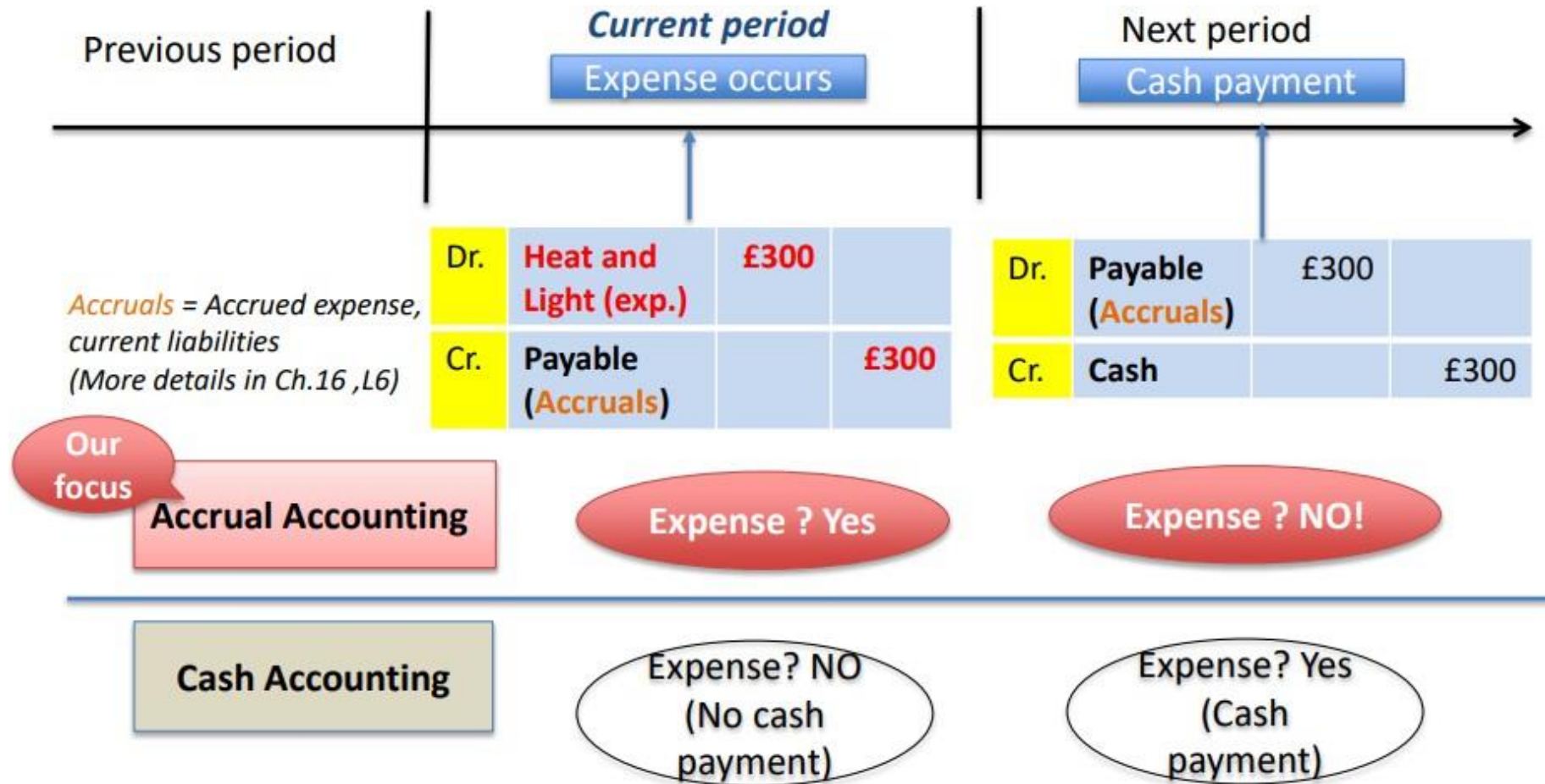
Credit sale



Service received and paid in cash

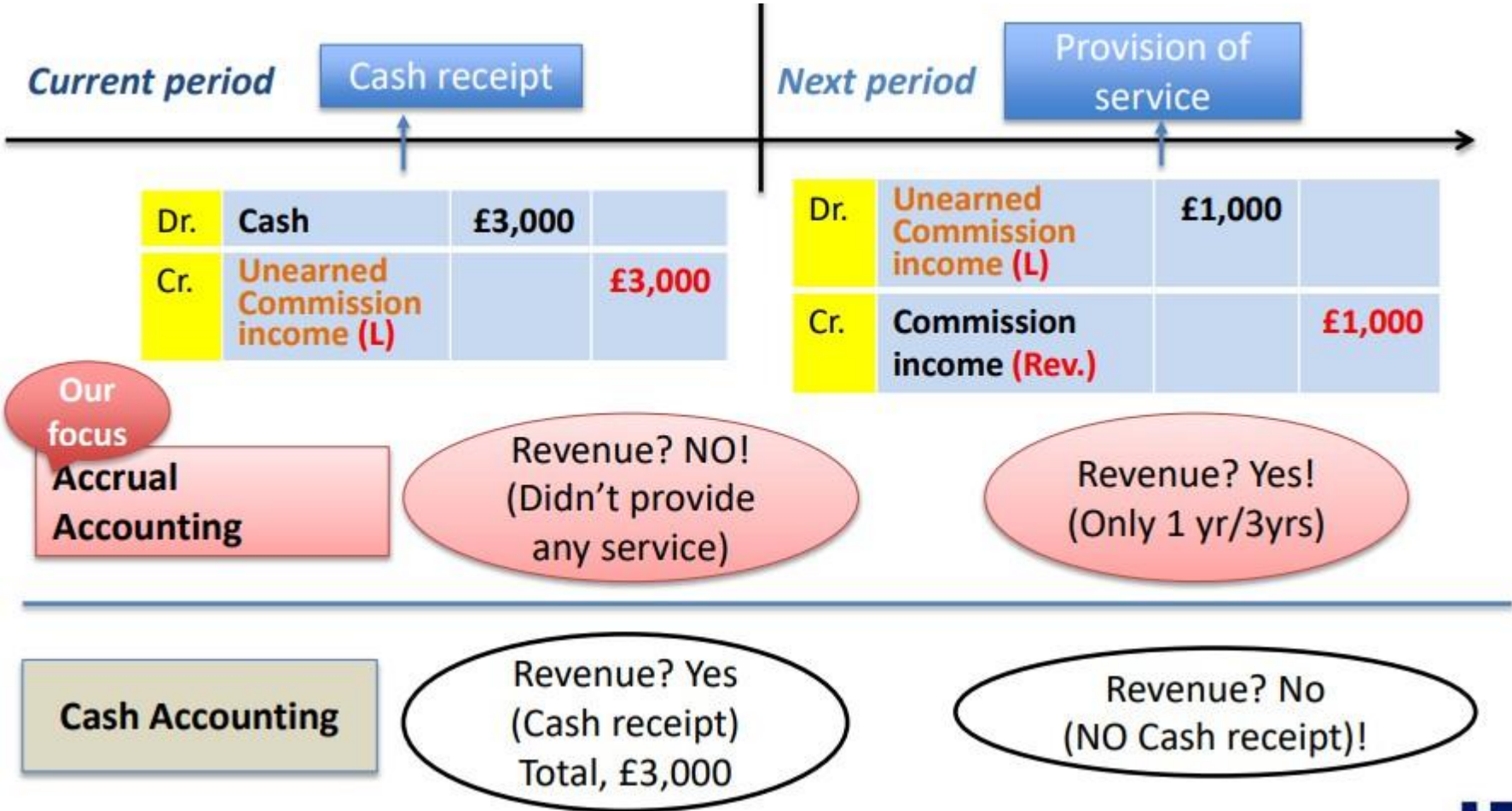


Service received but not paid



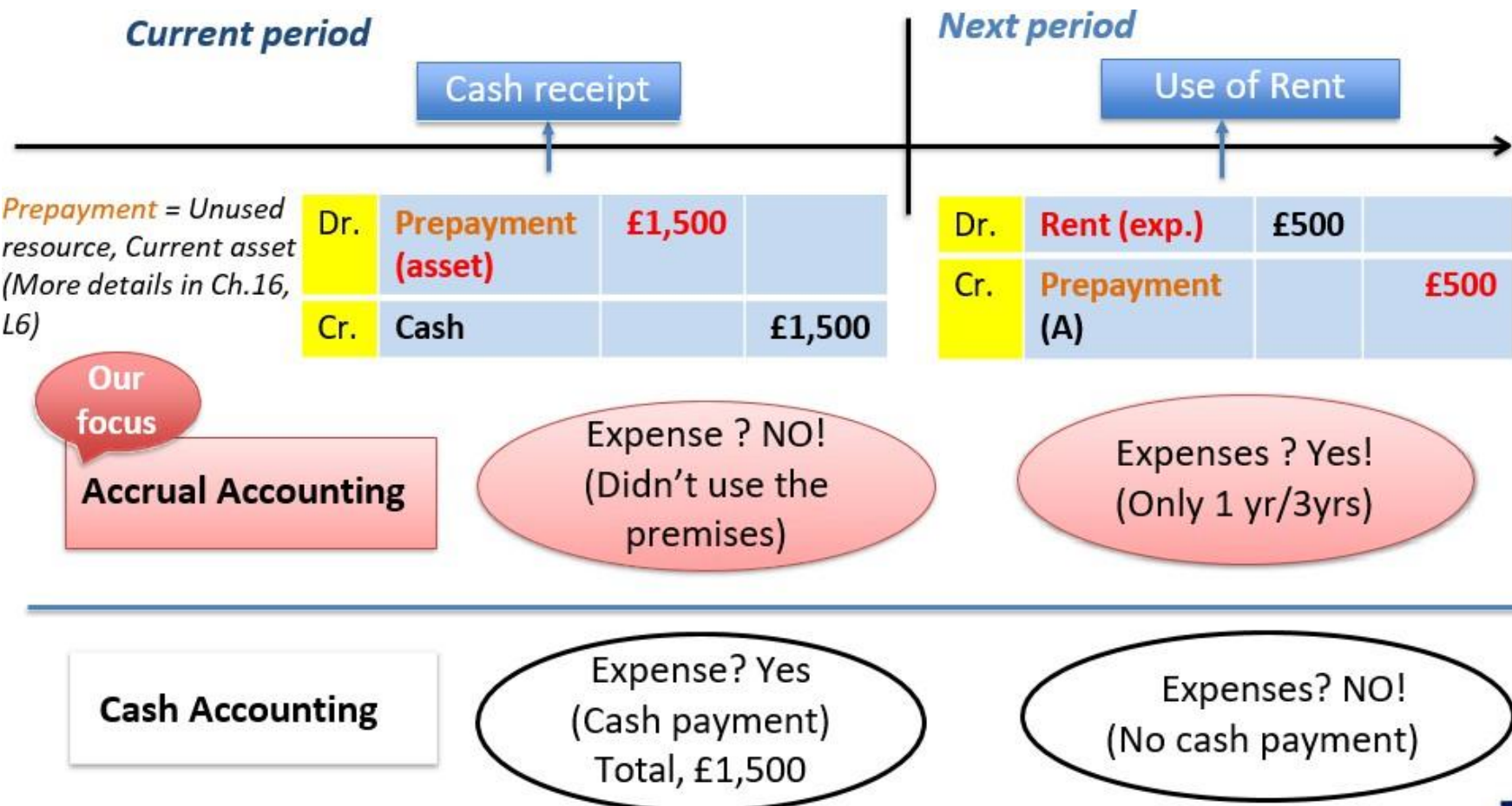
Cash received in advance (Deferred income)

Received cash (£3,000) in advance for the next 3 accounting periods of commission fee starting from next period.



Cash paid in advance (Prepayment)

Paid cash (£1,500) in advance for the **next 3 accounting periods** of rent expenses starting form next period.



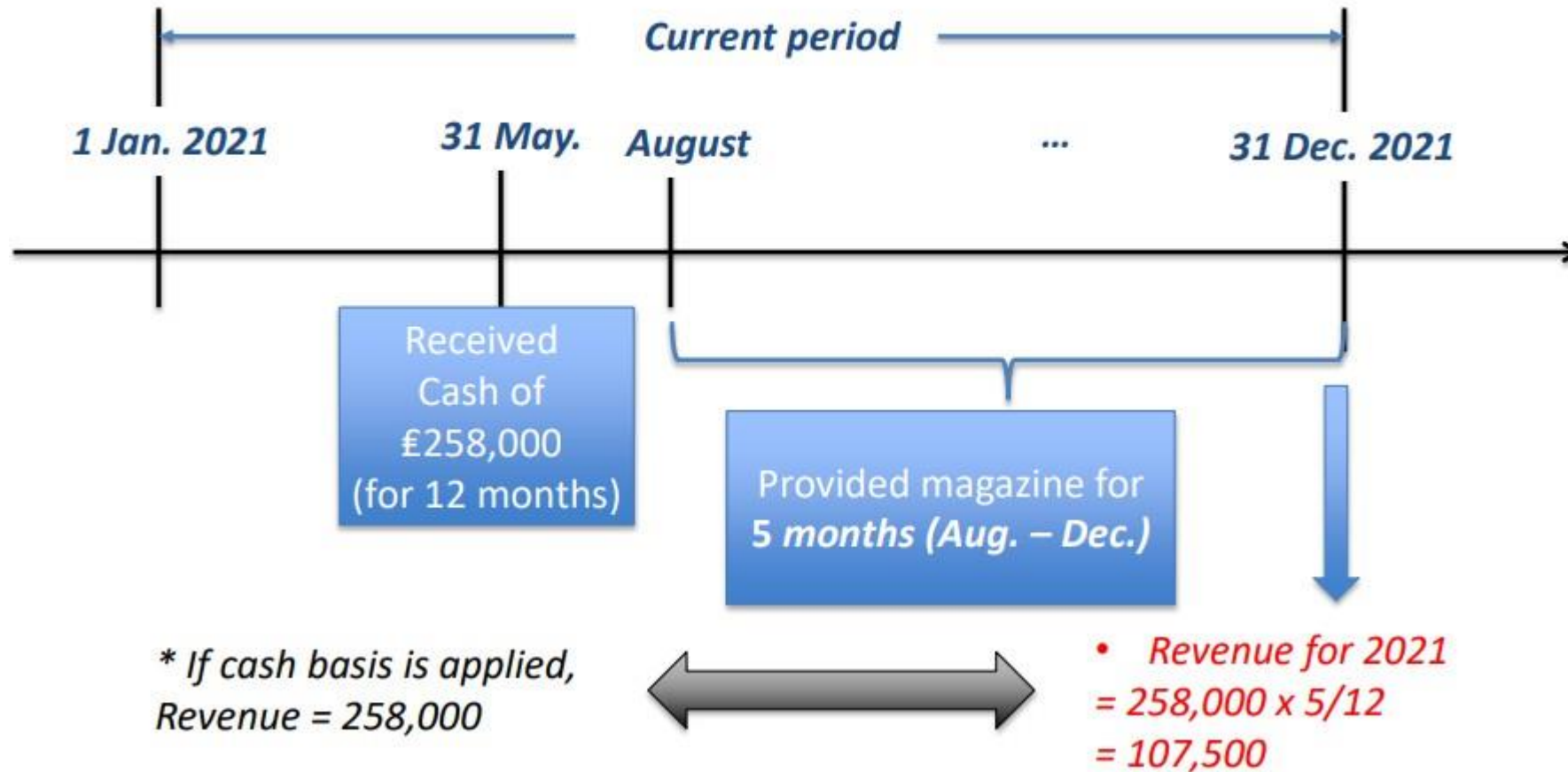
Accrual basis: revenue calculation

- ESG monthly, a magazine starts its financial year on 1 January and ends on 31 December.
- It collected £258,000 cash in subscription revenue on 31 May 2021. Each subscriber will receive an issue of the magazine in each of the next 12 months, beginning with the August issue.
- Based on accruals basis of accounting, what is the sales revenue for the year of 2021?

A. £107,500 B. £129,000 C. £258,000 D. £193,500

Accrual basis: Revenue calculation

- **Revenue recognition:** Recording revenues **WHEN** they are **earned by providing goods or services** to customers.

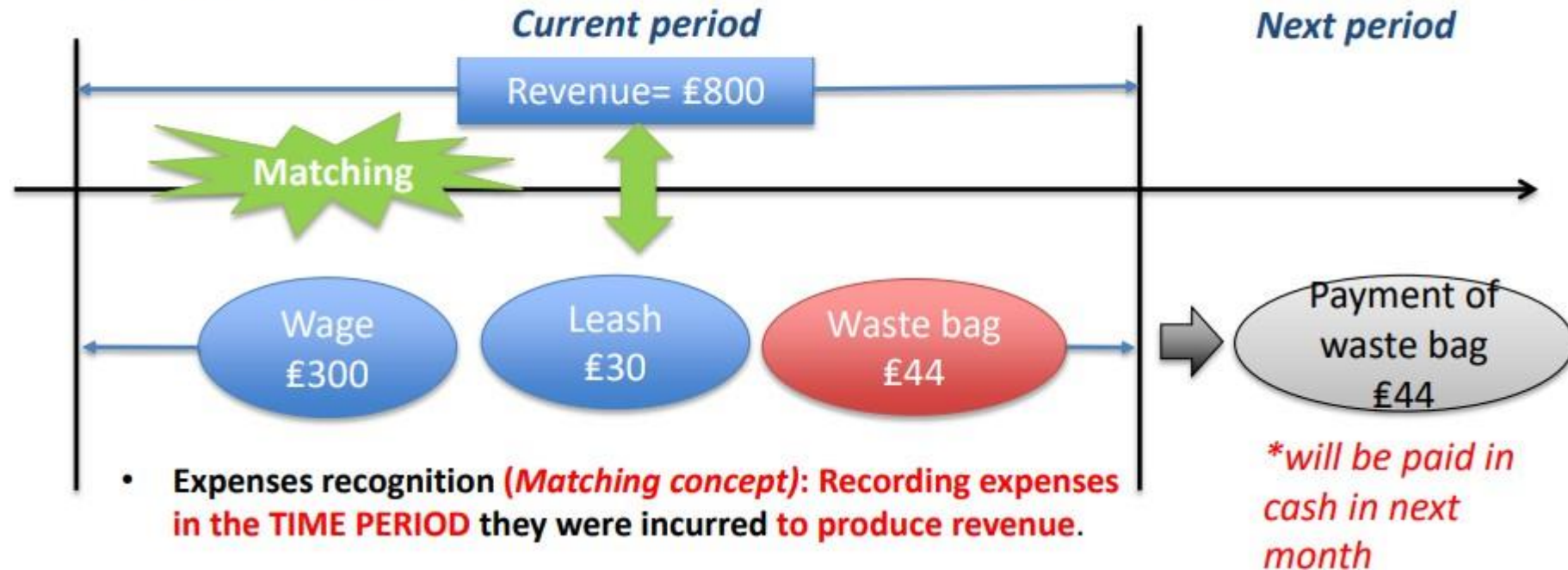


Accrual basis: Matching principle

- Dogs RU walked 20 dogs a week this past month. Assume that there were a total of 4 weeks in the past month. They charge £10 per walk. All charges were received in cash.
 - The company's only expenses incurred during the month were £300 wages, £44 for waste bags, and £30 to repair a broken leash. The wage and leash replacement were paid during the month, but the waste bags were **not paid**.
 - Based on accruals basis of accounting, what is Dogs RU's profit or loss for the month?
- A. £374 loss B. £74 loss C. £426 profit D. £470 profit

Accrual basis: Matching principle

- Revenue: $20 \times 4 \times £10 = £800$ (in cash)



If cash basis is applied,
Profit for the month =
 $800 - 300 - 30 = 470$

If accrual basis is applied,
Profit for the month =
 $800 - 300 - 30 - 44 = 426$

Homework

- ▶ Good review of the content of this lecture
- ▶ Attempt tutorial questions on time

Thanks for your listening

